

■ By Malini Bhupta

As the head of the United Progressive Alliance (UPA) Government, Prime Minister Manmohan Singh has been caught like a doe between covert economics and overt populism. No surprise then that the Government chose to issue a press release with blank spaces, on the "marginal" hike effected on petrol, diesel and cooking gas. Clearly, the Government is finding it tough to do its math in a manner that it can convince consumers already hard hit by 8.1 per cent inflation. It has no qualms making the *aam aadmi* pay more for everything, rather than lose out on its own revenues.

Justifying the decision to increase the price of petrol by Rs 5 and diesel by

Rs 3, the Government has stressed its efforts in mitigating the pain against the required price hike of Rs 21.43 for petrol, Rs 31.58 for diesel and Rs 353 per cylinder of cooking gas. For those who came in late, the base price of petroleum in Delhi is Rs 21.93 a litre and of diesel Rs 22.45, while the retail prices are Rs 50.56 and Rs 34.80 per litre, respectively. As much as 49 per cent of the retail price of petrol and 26 per cent of diesel is made up of central excise duty and value-added tax (VAT). According to a May 2008 Credit Suisse report, the Government earned a net profit of Rs 46,600 crore from its petro taxes in fiscal 2002, which will go up to Rs 5,69,400 crore in 2008. Despite the Indian oil basket touching \$127 per barrel and the Government issuing oil bonds worth Rs 38,700 crore, it stands to earn a net profit.

Clearly, the Government would much rather pass the burden of infla-

tion on to its people rather than let its revenue and fiscal deficits rise by 1.5 per cent of gross domestic product (GDP). The Credit Suisse report says: "No, oil products are not subsidised in India. The reason why oil prices are high in India is because of heavy taxes. Indian central and state governments earn over 20 per cent of revenues by taxing oil." Having made clear that the Government is not in a position to allow the subsidy bill to rise any further, Manmohan has often stated that there isn't enough margin to fully insulate the consumer from the impact of world commodity and oil price hikes.

It isn't as if there aren't other options that could have been exploited to prevent a price hike at this point when inflation is already boiling at 8.1 per cent. According to the Statement of Revenue Foregone in Union Budget 2008, the Government is estimated to have lost Rs 3,37,060 crore in conces-

THE SLIP

The Government has chosen to make fuel cost

OIL ON A BOIL

Global crude oil at \$127 per barrel has led to a rise in domestic prices



LPG prices have gone up by **Rs 50** per 14.2 kg cylinder

